

Know When to Fold 'Em

Once you own a fund, how can you tell when it's time to sell? The standard advice is to ditch a fund if it underperforms the market (or similar portfolios) for one—or is it two?—or is it three?—years in a row. But this advice makes no sense. From its birth in 1970 through 1999, the Sequoia Fund underperformed the S & P 500 index in 12 out of its 29 years—or more than 41% of the time. Yet Sequoia gained more than 12,500% over that period, versus 4,900% for the index.^{[14](#)}

The performance of most funds falters simply because the type of stocks they prefer temporarily goes out of favor. If you hired a manager to invest in a particular way, why fire him for doing what he promised? By selling when a style of investing is out of fashion, you not only lock in a loss but lock yourself out of the all-but-inevitable recovery. One study showed that mutual-fund investors underperformed their own funds by 4.7 percentage points annually from 1998 through 2001—simply by buying high and selling low.^{[15](#)}

So when should you sell? Here a few definite red flags:

- **a sharp and unexpected change in strategy**, such as a “value” fund loading up on technology stocks in 1999 or a “growth” fund buying tons of insurance stocks in 2002;
- **an increase in expenses**, suggesting that the managers are lining their own pockets;
- **large and frequent tax bills** generated by excessive trading;
- **suddenly erratic returns**, as when a formerly conservative fund generates a big loss (or even produces a giant gain).